

INDIAN ECONOMY

LEVEL
II



LECTURES

SOCIAL INFRASTRUCTURE ... HOW TO
PROPEL PRIVATE SECTOR
INVESTMENTS?

MODULE - 42



WHAT DO YOU UNDERSTAND BY SOCIAL INFRASTRUCTURE?

SCHOOLS & EDUCATIONAL FACILITIES



HEALTHCARE FACILITIES



WATER & SANITATION





WHY SOCIAL INFRASTRUCTURE IS IMPORTANT FOR ANY NATION'S PROGRESS?

- Social infrastructure projects are foundational assets that support the quality of life of a nation.
- It goes beyond basic economic functions to make a community an appealing place to live i.e., healthcare facilities, schools and other educational institutions, and water & sanitation, recreational facilities, lung space through greenery - to name some.

SOCIAL INFRASTRUCTURE ... PRIVATE INVESTMENTS NOT ON THE EXPECTED LINES!



- Public sector tends to be the most dominant financing source in social infrastructure, especially in education.
- Private investments in healthcare and education sectors have picked up in recent times, but they pale in comparison to the investments in economic infrastructure sectors such as roads and power.
- Their smaller size along with spatial distribution are the inhibiting factors. There is a distinct lack of investible projects in sectors such as primary and secondary hospitals in rural areas.

WHAT COULD BE THE APPROPRIATE MODEL FOR REVENUE GENERATION?



- Instead of 100% user base model, the end user can pay subsidized charges.
- The revenue model for private developer may be a mix of subsidized and market determined charges based on eligible beneficiaries for a particular government service. Well-to-do users can pay market determined prices.
- Not all hard social infrastructure need to be paid by users/tax payers. Some can be cross-subsidized by connected services i.e., shops, restaurants, mixing commercial and social homes etc.

FINANCING MECHANISMS TO PROPEL PRIVATE SECTOR INTO SOCIAL INFRASTRUCTURE INVESTMENTS

3 Minimum return guarantee for the investors can be inbuilt.



2 Availability of liquidity backup covering debt obligations for a defined period can improve investor confidence in the respective instrument.

INNOVATIVE FINANCING MODELS ARE THE NEED OF THE HOUR!

1 Partial credit guarantee can raise cost effective funds. Here, loss guarantee can be given ideally by the central government through credit guarantee facility and in this way banks will come forward to give loans to the developers. At the same time, developers will get access to low cost credit.



FINANCING MECHANISMS TO PROPEL PRIVATE SECTOR INTO SOCIAL INFRASTRUCTURE INVESTMENTS

7 Investment by private sector in the social infra can be considered eligible under Corporate Social Responsibility (CSR) obligations.

6 Money can be mobilized through municipal bonds or other dedicated sub-govt. instruments. Social or sustainability bonds with end use focusing on social infra assets can be thought off.



4 Pooled funding to allow less credit worthy entities - like in small and medium cities - diversify their credit risks.

5 PPPs for schools, hospitals, etc. with the payments from trustworthy public authorities can be thought off.

INNOVATIVE
FINANCING
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